

Unofficial Translation

This translation is for the convenience of those unfamiliar with the Thai language.

Please refer to Thai text for the official version.

Notification of the Bank of Thailand

No. FPG. 13 / 2563

Re: Regulations, Procedures, and Conditions for Undertaking

Nano Finance Business Under Supervision

1. Rationale

Nano finance business under supervision is one of the financial service businesses that promotes access to sources of funding as well as enhancing the opportunity for business undertakings. In addition, it also improves overall quality of people's lives and alleviates informal debt problems, which would help promote better social quality and economy. Hence, nano finance business under supervision is regarded as business related to majority of people. For this reason, public sectors, including the Ministry of Finance and the Bank of Thailand, have supervised the undertaking of nano finance business under supervision since B.E. 2558 (2015) in order to support access to sources of funding, provide consumer protection from collecting unfair interests and fees, and supervise operators of nano finance business under supervision, both financial institutions and non-banks, with the same standards.

The amendment made to the Bank of Thailand Notification herein is to prescribe qualifications and prohibited characteristics of non-bank operators of nano finance business under supervision, their major shareholders, directors, persons with management authority, as well as the directors, managing partners, persons with management authority of their parent companies in order to promote good corporate governance. In addition, it is also to prescribe the reduction in the maximum total interest rates, penalty rates, fines, service charges and any fees that financial institutions and non-bank operators of nano finance business under supervision may collect from debtors to 33 percent per year (effective rate). According to the Financial Institutions Business Act B.E. 2551 (2008) and its amendments, and the Ministry of Finance Notification Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision), it stipulates that the Bank of Thailand has an authority to prescribe regulations on the maximum total interest rates, penalty rates, fines, service charges and any fees that financial institutions and non-bank operators

of nano finance business under supervision may collect from debtors as appropriate to the economic conditions. Furthermore, the Bank of Thailand has incorporated the regulations applicable to both financial institutions and non-bank operators of nano finance business under supervision into the same Notification.

2. Statutory Power

2.1 By the virtue of Section 38, Section 39, Section 40, Section 41, Section 46, Section 47, and Section 71 of the Financial Institutions Business Act B.E. 2551 (2008), the Bank of Thailand hereby issued the regulations, procedures, and conditions for undertaking nano finance business under supervision for commercial banks and finance companies to comply with as prescribed in this Notification.

2.2 By the virtue of Clause 2, Clause 4, Clause 8, Clause 11, Clause 12, Clause 17, and Clause 21 of the Ministry of Finance Notification Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision), the Bank of Thailand hereby issued the regulations, procedures, and conditions for undertaking nano finance business under supervision for non-banks to comply with as prescribed in this Notification.

3. Repealed Notification and Circulation

3.1 The Bank of Thailand Notification No. FPG. 2/2558 Re: Regulations, Procedures, and Conditions for Undertaking Nano Finance Business under Supervision for Financial Institutions dated 22 Jan 2015 (B.E. 2558).

3.2 The Bank of Thailand Notification No. FPG. 1/2558 Re: Regulations, Procedures, and Conditions for Undertaking Nano Finance Business under Supervision for Non-bank Operators dated 22 Jan 2015 (B.E. 2558).

3.3 The Bank of Thailand Circulation No. FPG. 24/2558 Re: Report Submissions of Nano Finance under Supervision dated 17 April 2015 (B.E. 2558).

3.4 The Bank of Thailand Circulation No. FPG. 25/2558 Re: Report Submissions of Nano Finance under Supervision dated 17 April 2015 (B.E. 2558).

4. Scope of Application

This Notification shall be applied to all commercial banks and finance companies according to the Financial Institutions Business Act and non-bank operators of nano finance business under supervision according to the Ministry of Finance Notification

Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision).

5. Content

5.1 Definitions

5.1.1 “Nano finance” means lending, purchasing, discounting or rediscounting of bills or any negotiable instruments, hire purchase, and leasing to natural persons for the purpose of business undertaking without any asset or property pledged as collaterals.

5.1.2 “Nano finance under supervision” means nano finance for the purpose of business undertaking that has total credit line for each debtor not exceed 100,000 baht and credit term as agreed between debtors and operators. In this regard, operators shall have flexible credit granting process according to characteristics of debtor’s groups, e.g. start-up business.

However, nano finance under supervision shall exclude a loan originated from hire purchase, leasing, sale and lease back of goods that operators sell in business as usual as well as vehicles, machines, title loans, and travel loans for overseas employment.

5.1.3 “Title loan” means loan to a person that holds legal rights to the vehicle whereby operators receive vehicle registration records or arrange to have a contract, a document, or any other evidence for transferring of vehicle registration in advance as debt guarantee. This includes arrangements to have a contract, a document, or any other evidence so that operators can proceed with selling or taking any other actions of debtors’ vehicle for debt repayment, whilst debtors may continue to keep and use the vehicle as normal owners.

5.1.4 “Vehicle” means Vehicle according to the Vehicle Act and the Land Transport Act.

5.1.5 “Consumer” means consumers according to the Consumer Protection Act.

5.1.6 “Operator” means financial institution and non-bank operator of nano finance business under supervision.

5.1.7 “Financial institution” means commercial banks and finance companies according to the Financial Institutions Businesses Act.

5.1.8 “Non-bank operator of nano finance business under supervision” means those who are permitted to undertake nano finance business under supervision according to the Ministry of Finance Notification Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision).

5.2 Principle

In order to undertake nano finance business under supervision, operators must comply with the guiding principles as follows:

5.2.1 Nano finance under supervision should be considered providing only to persons who have debt repayment capacity. In addition, providing of nano finance should not encourage persons to create unnecessary debts and should take the livelihoods of the consumers after loan approval transactions into account.

5.2.2 The interests, penalty fees, fines, service charges, fees and any expenses collected from consumers should take into account the actual costs, must be at a fair rate, and must not take advantages of consumers. In addition, operators should provide services to consumers appropriately and fairly.

5.3 Operators’ Qualifications and Submissions of Application for a License

Non-bank operators of nano finance business under supervision, their major shareholders, directors and persons with management authority, as well as the directors, managing partners, persons with management authority of their parent companies, must have qualifications and do not have prohibited characteristics as prescribed in the Ministry of Finance Notification Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision).

Furthermore, in order to apply for a license to be non-bank operators of nano finance business under supervision, the operators shall submit the application to the minister of the Ministry of Finance through the Bank of Thailand according to the application form and submission channels as specified in the Bank of Thailand’s Public Handbook.

5.4 Regulations for Undertaking Business

5.4.1 Qualification of Consumers of Nano Finance under Supervision

Operators must consider to provide nano finance under supervision to natural persons only if the operators already have assessed that such persons have sufficient financial capacity for debt repayment. **In this regard, the operators may consider using other factors that could reflect debt repayment capacity of such person accurately and credibly.** In addition, the operators must have policies and processes for consideration of using those factors as prescribed in Attachment 1.

In addition, the operators must review debt repayment capacity and credit risk profile of consumers of nano finance under supervision. If the consumers' debt repayment capacity and credit risk profile have improved and are suitable for other types of loan, operators may consider changing types of loan as appropriate with their new credit risk profile. In this respect, the operators shall notify consumers and ask for consents.

Furthermore, operators are not allowed to take actions as follows:

- (1) Operators are not allowed to convert other types of debt to nano finance under supervision, unless prior consent is given by consumers.
- (2) Operators are not allowed to provide nano finance under supervision to consumers whose debt repayment capacity and credit risk profile are suitable with other types of loan, unless the consumers have clearly expressed intention.

5.4.2 Approval of Credit Line for Nano Finance under Supervision

Operators shall approve credit line for nano finance under supervision to each consumer in the amount not exceeding 100,000 baht.

5.4.3 Collection of interests, penalty fees, fines, service charges, any fees, and other expenses

Operators may collect interests on overdue loans, interests during period of debt defaults, any service charges, penalty fees, fines for late payments, fees, or any expenses from consumers with the total rate not exceed **33** percent per year (effective rate).

In this regard, operators must not compound interests, penalty fees, fines, service charges, fees, **and any expenses** to the debt outstanding in order to calculate interests, penalty fees, and fines again. **In addition, operators must be aware not to allow debt restructuring or contract amendments of nano finance under**

supervision for the purpose of circumventing aforementioned regulations on interests, penalty fees, fines, service charges, any fees, and expenses related to nano finance business under supervision.

5.4.4 Formulation of Policies and Plans

Operators must formulate policies and plans for operating nano finance business under supervision. The policies and plans shall include directions and guidelines for providing services of nano finance under supervision, **and consumer protection as well.**

Furthermore, **in case non-bank operators of nano finance business under supervision use services from external providers (outsourcing) in order to reduce operating costs and to improve flexibility in conducting business to be more efficient, they may only outsource functions which are not main functions related to strategic decision making (strategic function) by complying with Attachment 2.**

5.4.5 Risk Management

Operators must arrange to have a risk management system for providing nano finance under supervision as follows:

(1) System for determining eligibility of consumers who apply for nano finance under supervision in order to approve and grant credit lines of nano finance under supervision according to their debt repayment capacities.

(2) System for debt collection in order to notify the operators when consumers begin to have difficulty to repay or unable to repay as agreed, as well as having strategies for debt collection in various cases.

(3) Management information system for formulating and reviewing policies and plans related to provision of nano finance under supervision.

5.4.6 Consumer Protection

Operators must comply with the Bank of Thailand Notification Re: Regulations on Market Conduct and further comply with the requirements related to the disclosure of interest rates, penalty fees, fines, service charges, fees, and expenses, preparation of debt obligation table, demanding for debt repayment and debt collection, changing types of debt, **practice and management related to consumer information, complaint handling practices, and off-site operations as details specified in Attachment 3.**

5.4.7 Documentation, Retention, and Submission of Electronic Information

Non-bank operators of nano finance business under supervision may document, retain, and submit various of information according to this Notification. Operators may also, in general, disclose information or notify of changing information to consumers in electronic formats. The Bank of Thailand Notification Re: Documentation, Retention, and Submission of Electronic Information of Financial Institutions shall be applied *mutatis mutandis*.

5.4.8 Maintaining Debt to Equity Ratio

To be in line with the principle of shadow banking supervision of the Financial Stability Board (FSB), which is regarded as critical issues that may have an impact on financial institution system, the Bank of Thailand therefore requires applicants for being non-bank operators of nano finance business under supervision to maintain debt to equity ratio not exceed 7 times and they have to maintain such ratio during period of undertaking nano finance business under supervision.

5.4.9 Change of Location or Closure of Branch Offices

Non-bank operators of nano finance business under supervision must notify changing of location or closure of branch offices¹ **according to formats and time periods as specified by the Bank of Thailand.** The operators must also announce the relocation or closure of branch offices in advance by at least posting the announcement at the public area of such branch offices. During that period, the operators must have practice guidelines in place to provide convenience for their consumers as appropriate.

5.5 Submission of Reports to the Bank of Thailand

5.5.1 Operators must prepare and submit reports according to formats and time periods as specified by the Bank of Thailand, as well as other reports and additional information as requested by the Bank of Thailand in a case-by-case basis.

5.5.2 Non-bank operators of nano finance business under supervision must submit annual financial statements audited by registered auditors, as well as signed and certified by authorized directors on behalf of the operators to the Bank of Thailand within 180 days from the end of the accounting period.

¹ In case of temporary closure of branch offices, non-bank operators of nano finance business under supervision may take action with notifying to the Bank of Thailand immediately after the closure.

5.6 Application for Permission from the Bank of Thailand

The Bank of Thailand may consider a relaxation on compliance with regulations or conditions related to the use of services from external providers (outsourcing), maintenance of debt to equity ratio, and submission of reports to the Bank of Thailand, as specified in this Notification on a case-by-case basis. In this respect, operators shall submit application for relaxation together with reasons and necessity to the Bank of Thailand as specified in the Public Handbook. In consideration of such relaxation, the Bank of Thailand may also prescribe additional regulations or conditions as well.

5.7 Prescribing Other Regulations or Conditions in General

In the case of necessity that affects economic situations or usual services provided by operators, the Bank of Thailand may consider generally relaxing the regulations or conditions related to consumer complaint handling practices and announcement of the relocation or closure of branch offices as specified in this Notification. In consideration of relaxation, the Bank of Thailand may also prescribe additional regulations or conditions as well.

5.8 Prescribing Additional Conditions, Order for Corrections, Suspensions, or Revocations of License

For non-bank operators of nano finance business under supervision, the Bank of Thailand may order corrections or temporarily suspensions of operations of nano finance business under supervision, wholly or partly. In this regard, the Bank of Thailand may also prescribe additional regulations, practices, or other conditions for operators to comply with, as well as provide recommendations to the Minister of Finance to consider revocations of license.

In case of the Minister of Finance orders to revoke license, the operators must return the license to the Bank of Thailand within 15 days.

5.9 Transitional Provision

For operators who have granted loans with characteristics of repayment with installment type and certain installment period before the effective date of this Notification, the operators may still collect total maximum rate of interests, penalty fees, fines, service charges, and any fees at the rate as stipulated in the contracts or agreements until the debt settlements have been completed.

6. Effective Date

This Notification shall come into force from 1st August 2020 onwards.

Announced on 31st July 2020

(Mr.Veerathai Santiprabhob)

Governor

Bank of Thailand

Regulatory Policy Department

Telephone 0 2283 5806, 0 2283 5805

Facsimile 0 2283 5983

Guidelines for Using Other Factors in Determining Debt Repayment Capacity
(information based lending)

Operators must prepare policies and processes for credit approval consideration by using other factors or their own technologies under the guidelines set out by the Bank of Thailand as follows:

(1) Specifying scopes and processes for using other factors or technologies in determining debt repayment capacities, setting credit line limits for each debtor and total credit limits, as well as setting targets that reflects acceptable debt repayment capacities.

(2) Having sufficient resources and personnel that has sufficient knowledge, abilities, experiences, and expertise to perform operations efficiently and effectively throughout the processes, as well as having a clear separation of duties and independently maintaining balance of power as follows:

(2.1) The persons who are responsible for credibility testing and the persons who monitor the effectiveness of using other factors or technologies in determining debt repayment capacity must be independent from the persons who are responsible for analyzing and selecting factors or for developing models (if any) in determining debt repayment capacity.

(2.2) The persons who are responsible for operational audit must be independent from the person being audited.

(3) Establishing guidelines for analyzing and selecting factors or for developing models (if any) that could be used for estimating or predicting the ability and willingness to repay accurately by referring to reliable sources and based on reasonable assumptions.

(4) Testing key success factor on the usage of the factors or the models under Section (3) in order to determine debt repayment capacity under limited scope of internal sandbox to ensure that such factors or models are reasonable. Additionally, the results from determining debt repayment capacity shall be accurate at an acceptable level. In this regard, operators must limit the scope of granting credits under such policies until the testing results meet the target for determining debt repayment capacity.

(5) Establishing processes for monitoring and reviewing the credibility and efficiency of using such factors or models under Section (3) in determining debt

repayment capacities. This should be done on a regular basis or whenever there is a significant change in the selected factors or models (if any) in order to improve the efficiency of using other factors in the determination.

Regulation on the Use of Services from External Providers

In case non-bank operators of nano finance business under supervision use services from external providers (outsourcing) in order to reduce their operating cost and to improve flexibility in conducting business to be more efficient, the operators must select credible external service providers. In addition, the non-bank operators of nano finance business under supervision must be responsible to consumers as if they operate the service by themselves by upholding 3 important principles as follows: (1) having an appropriate consumer protection system, especially in the aspects of having adequate information disclosure to consumers, having confidentiality and security of consumer information, as well as handling of complaints and solving problems for consumers (2) ensuring continuity of business operations and services to consumers, and (3) having risk management system from outsourcing. In addition, the operators must allow the Bank of Thailand, external auditors, or other government authorities to examine their business operations, any internal control systems, as well as acquiring any information related to outsourcing or subcontractors (if any). This is for the purpose of completely understanding the actual business operations and risks. Furthermore, non-bank operators of nano finance business under supervision shall comply with the regulations with regard to outsourcing as follows:

(1) Selection of external service providers

Non-bank operators of nano finance business under supervision must properly establish guidelines for selecting external service providers before entering into a new contract or renewing a contract with existing providers. They must consider important issues covering at least as follows:

- (1.1) Competence, expertise, and operating experiences
- (1.2) Status of financial security
- (1.3) Business reputation, complaint records, or lawsuit records
- (1.4) Suitable corporate culture and service policies for non-bank operators of nano finance business under supervision
- (1.5) Assessment results of external service provider in case of renewing a contract with the same ones

(2) Protection and responsibility to consumers

Non-bank operators of nano finance business under supervision must always be aware that using external service providers is just the delegation of services. The operators still have full responsibilities to consumers as if they provide the service by themselves. Therefore, the operators must ensure that their consumers are treated properly at least on the following issues:

(2.1) Ensure that external service providers properly provide information security and confidentiality systems of consumers and operators, as well as inspecting such systems appropriately. The operators must also ensure that the external service providers strictly monitor their employees to maintain information confidentiality of consumers and operators.

(2.2) Ensure that there are appropriately adequate complaint handling and troubleshooting systems for consumers. The complaints, including personal data of consumers, must be recorded and monitored. In this regard, the operators must determine appropriate guidelines to solve such complaints and periodically report the information to their management for acknowledgment.

(2.3) Ensure that the quality of services in which consumers received are not impaired or that general regular expenses of operators are not pass on to consumers. In this regard, the use of services must not obstruct to comply with requirements of the laws, rules, or official regulations.

(2.4) Ensure that the information that might affect consumers related to using external service providers, on behalf of the operators, is disclosed for acknowledgement in advance.

(2.5) Ensure that in case of termination or cancellation of contracts with external service providers for any reasons, all consumer information must be destroyed or retrieved and taken back to the operators.

(2.6) Ensure that information of consumers and the operators must be monitored according to the Law subjected to Re: Business Subject to Approval under Clause 5 of the Declaration of the Revolutionary Council No. 58 (Nano Finance under Supervision) or the Notifications issued for proceeding of such laws.

(2.7) Ensure that there are clear and appropriate penalty guidelines in case of external service providers fail to comply with the requirements under the Sections (2.1) – (2.6).

(3) Business continuity management of external service providers

Non-bank operators of nano finance business under supervision must require external service providers to prepare a business continuity plan, especially in the event of interruption of important functions or functions affecting a wide range of consumers, as well as allocating resources to sufficiently support their operations.

Furthermore, non-bank operators of nano finance business under supervision must conduct a test on business continuity plan with external service providers regularly to ensure that they are able to consistently provide essential services. In addition, the testing results must be recorded in documentation for the Bank of Thailand to verify.

(4) Risk Management of External Service Providers

Non-bank operators of nano finance business under supervision must stipulate a clear written guideline for risk management of using external service providers appropriately according to importance of the functions. They must also communicate to related parties for understanding and strictly following the guidelines. In addition, they must provide or arrange for the external service providers to have operating manuals and related documents, as well as regularly review to make updated versions.

Principles and Examples of Main Functions Related to Strategic Decision Making (Strategic Function)

Principle

In considering the main functions related to strategic decision making, non-bank operators of nano finance business under supervision must consider the followings:

(1) Functions related to decisions making or transactions that affect the operating status and risks of the operators

(2) Functions related to in-depth analysis, audit, or final review prior to making decision to enter into transactions

(3) Functions related to monitoring, auditing, and reviewing after granting or entering into transactions, which may affect their operating status and risks in case of operating improperly

Examples of Main Functions Related to Strategic Decision Making (Strategic Function)

Functions	Examples of strategic function
Credit and credit-like transactions	- Credit analysis - Credit approval - Auditing and signing of contracts - Auditing/reviewing of setting credit limit, disbursement, and monitoring of using credit limit - Auditing or reviewing of debtor monitoring - Verifying of debtors' information in database system - Verifying and approving of KYC/CDD result However, knowing customers and their facts (Know Your Customer: KYC / Customer Due Diligence: CDD) must comply with the regulations of the Anti-Money Laundering Office. - Decision making in debt resolution
Risk management	- Decision making based on various types of risk management - Portfolio management and risk control
Accounting and finance	- Verifying or reviewing the accuracy of accounting and financial information

Consumer Protection

Other than complying with the Bank of Thailand Notification Re: Regulations on Market Conduct, operators also have to additionally comply with the followings:

(1) Disclosure of Interest rates, penalty rates, service charges, fines, fees, and any expenses related to nano finance under supervision

(1.1) **Disclosure** details of interest rates, penalty rates, fines, service charges, fees, and any expenses related to nano finance under supervision according to the table in this Attachment **on the day prior** to the effective date of interest rates, penalty rates, fines, service charges, fees, and any expenses. **The operators must have procedures to ensure that consumers acknowledge and clearly understand the details, for examples, announcing in public area at every office and publishing on the operators' websites or other channels.**

(1.2) Keeping the original details under Section (1.1) whether in a form of documents, computer recorded, or in any forms for a period of not less than 10 years from the effective date of interest rates, penalty rates, fines, service charges, fees, and any expenses for the purpose of providing such information to consumers, courts, or government authorities as requested.

(1.3) Providing details of interest rates, penalty rates, fines, service charges, fees, and any expenses related to nano finance under supervision, which are effective during that time according to the table in this Attachment, **in prospectuses, applications, contracts, and any other related documents** for acknowledgement and consideration in decision making of consumers or persons who wish to apply for nano finance under supervision **or to increase credit limit.**

(2) Preparation of debt obligation table

For consumers to acknowledge clear information when entering into a contract or receiving credit approval of nano finance under supervision, operators must prepare a debt obligation table for each consumer by displaying details of information in a periodic basis. The information in each period must at least contain the debt amount that consumers must pay, classified by principals, interests, and remaining principals. The example of such debt obligation table can, instead, also be provided to customers applying for revolving credit type. The operators may refer to the example of such debt obligation table in this Attachment with all important details mentioned above.

(3) Debt repayment and debt collection process

(3.1) Preparing a debt statement informing consumers of their debt obligation, together with due date of debt repayment or debiting bank account in each installment according to the form and channel as agreed with consumers. Operators must display the amount of debt that must be paid, that is overdue balance, and that is undue balance, as well as separating principal, interests, penalty fees, fines, service charges, fees, and any expenses in the debt statement. In addition, operators must notify such information to consumers at least once a month and also send the debt statement within reasonable time period before the due date of first payment or debiting bank account of each month.

(3.2) Notifying consumers who have overdue debt repayment before pursuing legal execution **by providing adequate timeframe for consumers to investigate and dispute such transaction.**

(4) Changing of debt types

Operators are not allow to transfer debts arising from nano finance under supervision to debts under current account or other types of loan unless receiving consent from consumers.

However, the debts arising from nano finance under supervision that have not yet transferred to debts under current account, the interests of such debts may not be compounded with the principals for caculating the interest charges.

(5) Proceeding and handling of consumer information

(5.1) Operators must give an importance and proceed to obtain accurate and complete information about consumers, including all debt obligations that consumers will have, by considering approval, setting, or increasing credit limit of nano finance under supervision that is appropriate and align with consumers' debt repayment capacities.

In addition, operators may communicate to consumers about their debt obligations for decision making in applying for nano finance under supervision or increasing such credit limits.

(5.2) Operators must keep the consumers' information confidential, excepting for the cases as follows:

(5.2.1) Disclosure with consent of consumers

(5.2.2) Disclosure by duties or for benefits of investigations or trials

(5.2.3) Disclosure to auditors of the operators

(5.2.4) Submission of credit information according to the Credit Information Business Act

(5.2.5) Disclosure for benefits of legal compliance

(6) Complaints handling

Operators must investigate complaints related to services of nano finance under supervision and notify the progress **of the investigation results**, as well as notifying the next process to complainants within 7 days from the date of receiving the complaints. Furthermore, the operators shall resolve the complaints and notify complainants as soon as possible.

(7) Off-site Operations

Financial institution operators shall comply as follows:

(7.1) Financial institutions are allowed to perform off-site operations by having their staffs collect money, collect debt repayment, and follow up on debt repayment at consumers' operating places only for transactions related to nano finance under supervision.

(7.2) Financial institutions may use external service providers who are juristic person or natural person to perform the duties of collecting money, collecting debt repayment, and following up on debt repayment at consumers' operating places only for transactions related to nano finance under supervision.

(7.3) For permission under Section (7.1) and (7.2), financial institutions must comply with the following procedures:

(7.3.1) By outsourcing a juristic person or natural person to perform the duties of collecting money, collecting debt repayment, and following up on debt repayment, financial institutions must specify guidelines related to risk management and internal control systems and practices to prevent potential risks, such as guidelines on selecting agents and setting maximum amount of money that agents can collect, etc. In addition, financial institutions must be responsible to consumers as if they perform the duties by themselves and must not pass on burden of outsourcing expense to consumers.

(7.3.2) In case of fraud or failure, financial institutions must be responsible to consumers by recording transactions according to the date specified in the evidences as shown by the consumers without passing on any burden to the consumers or having the consumers await for investigation unless they have clear evidences that the consumers involve in such fraud or failure.

(7.3.3) Transaction date shall be effective on the date that financial institutions and/or their agents receive money and issue evidences of payment received to

consumers. In this case, they must issue such evidences to the consumers at the points of payment received as well.

(7.3.4) Financial institutions must specify date of operations and inform consumers the name of branch offices or units that are responsible for such operations, including contact channels as well.

Name of Financial Institution / Company

Details of interests, penalty fees, fines, service charges, fees, and any expenses that operators may collect from undertaking nano finance business under supervision

Effective from(date).....

Interests, penalty fees, fines, service charges, fees, and any expenses	
Interests, penalty fees, fines, service charges, fees, and any expenses	% per year

Note

Example of a debt obligation table

In case of a consumer applies for a loan of 12,000 baht and has repayment schedule for 12 months, the operator charges interests, penalty fees, fines, service charges, and any fees at the rate of 33% per annual (effective rate).

Therefore, the consumer has a monthly debt obligation as follows:

Customer Name..... repayment schedule every(date).....

Period	Total repayment in each period (1)	Payment of interests ^{1/} (2)	Principal Repayment ^{2/} (3)	Principal Outstanding ^{3/} (4)
0				12,000
1	1,188	330	858	-- 11,142
2	1,188	— 306	→ 881	← 10,261
3	1,188	282	905	9,356
4	1,188	257	930	8,425
5	1,188	232	956	7,469
6	1,188	205	982	6,487
7	1,188	178	1,009	5,478
8	1,188	151	1,037	4,441
9	1,188	122	1,065	3,376
10	1,188	93	1,095	2,281
11	1,188	63	1,125	1,156
12	1,188	32	1,156	0
Total	14,251	2,251	12,000	

^{1/} Interest payment in each period equals to the outstanding principal at the end of previous period multiplied by monthly interest rate, calculated from the interest rate per annual (Principal Reduction), which is the maximum rate that the operator determines, up to 33% divided by 12 months.

(This example is the calculation of monthly interest for ease of understanding but in practice, it may be calculated on a daily basis. Nevertheless, the effective interest rate for the entire agreement must not exceed 33% per annual).

^{2/} Principal repayment in each period equals to the amount of monthly repayment less interest in each period.

^{3/} Outstanding principal in each period equals to the outstanding principal in the previous period less the principal paid in this period.

Remarks:

- (1) Debt obligation table prepared according to the loan amount and term of each consumer.
- (2) The loan repayment amount will be in accordance with the above table only in case of a consumer repays in full amount and on time as agreed.
- (3) The effective interest rate throughout the entire loan agreement must not exceed 33% per annual.

Unofficial Translation

This translation is for the convenience of those unfamiliar with the Thai language.

Please refer to Thai text for the official version.

Ministry of Finance Notification

Re: Business Subject to Approval to Clause 5 of the Revolutionary Council Decree 58
(Nano Finance Under Supervision)

By virtue of the power conferred by Clause 5, Clause 7, Clause 8 and Clause 14 of the Revolutionary Council Decree 58 dated 26 January 1972 (B.E. 2515) regarding regulation of trading businesses which impact public safety and well-being, the Minister of Finance hereby issues a notification prescribing the nano finance under supervision, which is a business similar to banking business and has characteristics as specified in this Notification, is a business that requires approval as follows:

Clause 1. Repeal

(1) The Ministry of Finance Notification Re: Business Subject to Approval to Clause 5 of the Revolutionary Council Decree 58 (Nano Finance Under Supervision) dated 26 December 2014 (B.E. 2557).

(2) The Ministry of Finance Notification Re: Business Subject to Approval to Clause 5 of the Revolutionary Council Decree 58 (Nano Finance Under Supervision) (Version 2) dated 17 December 2015 (B.E. 2558).

Clause 2. In this Notification

“Nano finance” means lending, purchasing, discounting or rediscounting of bills or any negotiable instruments, hire purchase, and leasing to natural persons for the purpose of business undertaking without any asset or property pledged as collaterals.

“Nano finance under supervision” means nano finance for the purpose of business undertaking that has total credit line for each debtor not exceed 100,000 baht and credit term as agreed between debtors and operators. In this regard, operators shall have flexible credit granting process according to characteristics of debtor’s groups, e.g. start-up business.

However, nano finance under supervision shall exclude

(1) A loan originated from hire purchase, leasing, sale and lease back of goods that operators sell as usual business, as well as vehicles and any other assets as prescribed additionally by the Bank of Thailand

(2) Title loans

(3) Travel loans for overseas employment

(4) Other loans as prescribed by the Bank of Thailand

“Title loan” means loan to a person that holds legal rights to the vehicle whereby operators receive vehicle registration records or arrange to have a contract, a document, or any other evidence for transferring of vehicle registration in advance as debt guarantee. This includes arrangements to have a contract, a document, or any other evidence so that operators can proceed with selling or taking any other actions of debtors’ vehicle for debt repayment, whilst debtors may continue to keep and use the vehicle as normal owners.

“Vehicle” means Vehicle according to the law on vehicle land transport.

“Consumer” means consumers according to the law on consumer protection.

“Operator” means operators who usually conduct nano finance business under supervision.

“Financial institution” means

(1) Financial institutions according to the law on financial institutions businesses

(2) Government financial institutions established by special laws

“Person with management authorities” means

(1) Managers, deputy managers, executive directors of the operators, or any persons in equivalent positions under different titles

(2) Persons whom the operators have entered into contracts with to delegate their management authorities, in whole or in part

(3) Persons who have de facto power to control or to dominate managers, directors, or managements of the operators to follow their instructions in formulating policies or operating businesses

“Business group” means that have following characteristics:

(1) Business groups consist of the operator as a parent company and either one or many subsidiary companies, direct or indirect, including subsidiaries in every level; or

(2) Business groups consist of a non-operator as a parent company and the operator as a subsidiary company, in which the group may consist of one or many subsidiaries, direct or indirect, including subsidiaries in every level.

“Company” means limited companies, public limited companies, limited partnerships, registered ordinary partnerships, or other juristic persons.

“Parent Company” means companies that have controlling power over other companies.

“Controlling power” means the power to control other companies, either directly or indirectly, in the following manners:

- (1) Holding more than 50 percent of total paid-up shares.
- (2) Having power to control majority of voting rights at the companies’ shareholder meetings.
- (3) Having power to control appointment or dismissal of persons with management authorities or directors, at least half of the total number of directors in the companies.
- (4) Having power to control in any other manners as prescribed by the Bank of Thailand.

Holding 20 percent or more of a company’s total paid-up shares, either directly or indirectly, is preliminarily presumed to have controlling power unless can be proved.

“Subsidiary company” means

- (1) Companies that have another company as parent company; or
- (2) Subsidiary companies of the companies under (1) at all levels.

“Affiliated company” means subsidiary companies that have the same parent company.

“Related person” means persons who are related to other persons in the following manners:

- (1) Spouses;
- (2) Children or adopted children who are not yet reach legal age;
- (3) Companies in which such person or persons under (1) or (2) have management authorities;
- (4) Companies in which such person or persons under (1) or (2) have power to control majority of voting rights at the shareholders’ meetings;
- (5) Companies in which such person or person under (1) or (2) has power to control the appointment or dismissal of directors;
- (6) Subsidiary companies of the companies under (3), (4) or (5);
- (7) Affiliated companies of the companies under (3), (4) or (5);
- (8) Principals or agents; or
- (9) Other persons with characteristics as prescribed by the Bank of Thailand.

In case of any persons hold 20 percent or more of a company's total paid-up shares, either directly or indirectly, it is preliminarily presumed that such company is related to such person unless can be proved otherwise.

“Major shareholder” means persons who hold or have the operators' shares, either directly or indirectly, more than 10 percent of the total paid-up shares, including shares held by related persons.

“Financial business and payment system” means

(1) Financial institution business according to the law on financial institution business

(2) Credit card business, personal loan business under supervision, nano finance business under supervision, provincial retail loan business under supervision (Pico Finance), and electronic system or network business for peer-to-peer lending, which are businesses required for permission according to the laws

(3) Payment system business under supervision and payment service business under supervision according to the law on payment systems

(4) Asset management business according to the law on asset management companies

(5) Business related to means of foreign payment according to the law on foreign exchange control

(6) Life insurance business according to the law on life insurance and non-life insurance business according to the law on non-life insurance

(7) Securities business, financial advisory business, investment advisory business, and crowdfunding system service business according to the law on securities and exchanges

(8) Derivatives business according to the law on derivatives

(9) Trustee business according the law on trust for transactions in capital markets

(10) Securitization business according to the law on special purpose juristic persons for securitization

(11) Other businesses as prescribed by the Bank of Thailand

Chapter 1

Establishment and Applying for a License

Clause 3. The operation of nano finance business under supervision is the business that requires for permission.

The provisions of paragraph one shall not apply to:

(1) Financial institutions

(2) Operators providing credits similar to nano finance under supervision to consumers for payment of goods, services, and any others that belong to the operators themselves, the operators' own business group, or businesses under the same franchise

(3) Operators, that are not authorized to conduct nano finance business under supervision, which charge total maximum of interests, fines, service charges, and any fees not more than the allowed interest rate according to the Civil and Commercial Code

In case of the number of consumers, the amount of loans, or the scope of granting loans under paragraph two may have impacts on public interest or economic stability of the country, the Bank of Thailand, with agreement of the Minister, shall prescribe such loans to be nano finance under supervision which require for permission according to this Notification. Thus, the operators as specified and announced by the Bank of Thailand shall apply for approval to conduct the business according to this Notification. Indeed, the operators shall follow the rules and timeframe prescribed by the Bank of Thailand.

Clause 4. Operators shall be juristic persons in form of limited companies or public limited companies which receive licenses from the Minister. In such granting licenses, the Minister may prescribe any rules as deemed appropriate as well.

In applying for the licenses, the applications shall be submitted through the Bank of Thailand according to the requirements and forms as prescribed by the Bank of Thailand.

After receiving applications, together with properly completed required documents, the Bank of Thailand shall submit its opinion to the Minister for consideration of granting the licenses to conduct nano finance business under supervision within sixty working days from the date of receiving such applications, as well as properly completed required documents.

In case there are reasonable causes to doubt or any facts to believe that major shareholders, directors, or persons with management authorities of the applicants, as well as directors, managing partners, or persons with management authorities of their parents, have any prohibited characteristics according to Clause 14 (10) and Clause 14 (11), the Bank of Thailand can extend consideration period twice, for not more than sixty working days from such due date each time. Also, the Bank of Thailand shall report to the Minister for acknowledgment regarding such extended periods.

Clause 5. In applying for the licenses, juristic persons who intend to conduct nano finance business under supervision shall not have the prohibited characteristics as follows:

(1) Being under receivership.

(2) Being under order of temporarily suspension of their operations, either in whole or in part, or used to have their licenses or registration certificates to conduct financial businesses and payment systems revoked.

(3) Having been subjected to the court's final judgements of money laundering or having been subjected to the court's judgements or court's orders of forfeiture of assets to the state according to the law on anti-money laundering. Having been the persons listed on the List of Designated Persons related to terrorism or proliferation of weapons of mass destruction. Or having been subjected to the court's final judgements of offense related to financing of terrorism or proliferation of weapons of mass destruction according to the law on counter-terrorism and proliferation of weapon of mass destruction financing.

(4) Used to be operators of financial businesses and payment systems without authorized licenses or registration certificates as stipulated by laws. Having engaged in unfair activities or having taken advantages of consumers.

Clause 6. Operators shall have paid-up registered capitals no less than fifty million baht, as well as having shareholders' equities no less than the paid-up registered capitals at the date of submitting applications.

Chapter 2

Condition for Business Operation

Clause 7. Total maximum of interests, fines, service charges, and any fees that operators may charges must not more than thirty-six percent per year (Effective rate).

Clause 8. Operators must completely and clearly provide details of fees, interests, and any expenses occurred from nano finance under supervision in prospectus, applications, contracts, and any other documents according to the regulations prescribed by the Bank of Thailand.

Clause 9. Operators must keep confidentiality of consumers' information except for the following cases:

- (1) Disclosure with written consent from consumers
- (2) Disclosure according to duty, for the purpose of investigation, or for legal trials
- (3) Disclosure to auditors of such operators

(4) Submission of credit information according to the law on credit information business

(5) Disclosure for the purpose of complying to the laws

(6) Disclosure for other purposes as authorized by the Bank of Thailand

Clause 10. Operators are prohibited to undertake activities as follows:

(1) Public borrowing except issuing bills to be sold to limited groups of investors (Private Placement: PP) and except issuing debentures according to the law on securities and exchange.

(2) Reducing capitals without permission from the Minister.

(3) Relocating head offices without permission from the Bank of Thailand.

(4) Transferring debts from nano finance under supervision to debts under current account contracts except having written consents from consumers.

In case of debts occurred from nano finance under supervision that have not yet been transferred to be debts under current account contracts, the operators may not calculate interest charges based on compounding amount of interests and principals.

(5) Ceasing or suspend of operation of nano finance business under supervision without permission from the Minister.

By applying for permission according to Clause 10 (2) or Clause 10 (5) of paragraph one, operators shall submit letters explaining the reasons through the Bank of Thailand. The Bank of Thailand shall consider and make recommendations to the Minister for consideration of granting approval within sixty working days from the date of receiving the applications and properly completed required documents.

Clause 11. The Bank of Thailand shall have the power to prescribe regulations for conducting nano finance business under supervision, including the followings:

(1) Qualifications of users for services of nano finance under supervision

(2) Business operations undertaken by operators

(3) Interests, fines, service charges, and any fees related to nano finance under supervision that operators may charges, of which the total maximum rate prescribed by the Bank of Thailand must not exceed the rate as specified in Clause 7

However, besides such mention in paragraph one as prescribed by the Bank of Thailand, the operators may reasonably charge expenses from consumers as actually paid.

(4) Management, retention, disclosure, or any actions related to information of nano finance under supervision, including personal information of consumers

(5) Investigation and maintain security related to nano finance under supervision, including systems for providing service of nano finance under supervision

(6) Management of services related to consumer protection, demand for debt payment, and follow up on debt collection payment

(7) Selling and transferring of debts

(8) Practices for handling complaints or disputes from consumers

(9) Accounting and reporting

(10) Policy formulation, work planning, and public relationship

(11) Using of services from external providers for operating businesses

(12) Disclosure of information related to misconduct of operators and their directors or their persons with management authorities

(13) Relocating of head offices, as well as opening, relocating, or closing of branch offices. In this regard, branch office has meaning as specified by the Bank of Thailand

(14) Any other issues that the Bank of Thailand deems necessary to regulate nano finance business under supervision

Clause 12. For purposes of consumer protection, the Bank of Thailand shall have power to prescribe rules for operators to comply with as follows:

(1) Other businesses that such operators may conduct

(2) Juristic acts or contracts with people or consumers in conducting businesses of operators as specified by the Bank of Thailand, in aspects of contents, methods for calculating benefits, or forms of contracts

(3) Requirements in case of juristic acts or contracts entitle operators to unilaterally change contractual terms

(4) Disclosure of information regarding the operators

Clause 13. For purposes of consumer protection, the Bank of Thailand shall have power to disclose information related to misconduct of operators and their directors or their persons with management authorities according to this Notification and the related notifications of the Bank of Thailand.

Clause 14. Major shareholders, directors, or persons with management authorities must not have any qualifications or prohibited characteristics as follows:

(1) Being bankrupts or used to be dishonest bankrupts.

(2) Used to be imprisoned by the court's final judgments on the offences of dishonest, regardless of whether on probation or not.

(3) Used to be imprisoned by the court's final judgments on the offences relating to counterfeiting and alteration according to the Criminal Code or the offences relating to computers according to the law on computer crimes.

(4) Used to be subjected to the court's final judgements of money laundering or used to be subjected to the court's judgements or orders of forfeiture of assets to the state according to the law on anti-money laundering. Used to be the persons listed on the List of Designated Persons related to terrorism or proliferation of weapons of mass destruction. Or used to be subjected to the court's final judgements of offense related to financing of terrorism or proliferation of weapons of mass destruction according to the law on counter-terrorism and proliferation of weapon of mass destruction financing.

(5) Used to be directors, managing partners, or persons with management authorities of the operators of financial businesses and payment systems which those persons involved or had responsibilities in revocation of business licenses or business registrations during the revocation periods.

(6) Used to be removed from the positions of directors or persons with management authorities of financial institutions according to the law on financial institution business, of securities companies according to the law on securities and exchange, of life insurance companies according to the law on life insurance, or of non-life insurance companies according to the law on non-life insurance, unless such removal is not associated with dishonest conduct of duty.

(7) Used to be punished by dismissal or discharge from government offices, government organizations, or government agencies on charges of dishonest conduct of duty.

(8) Used to be imprisoned by the court's final judgment on offences relating to conducting financial business and payment systems.

(9) Used to be subjected to denunciation, complaint, or being prosecuted by the Bank of Thailand, the Office of the Securities and Exchange Commission, the Office of Insurance Commission, or government agencies, both in the country and abroad, on the charges of fraudulent or dishonest conduct, unless being found not guilty in final judgment.

(10) Having causes to doubt that the persons have engaged in or used to conducted activities causing fraud or public cheating, as well as conducting dishonest or unfair consumer practices.

(11) Having causes to doubt that the persons have engaged in or used to conducted activities causing discrimination, seeking self-benefits for them or their groups, as well as

participating in making any decisions, which may cause conflict of interests, or that the persons have had behaviors implying actions which seem to be dishonest.

(12) Being persons who do not have any other qualification or prohibited characteristics as prescribe by the Bank of Thailand.

Clause 15. The parent companies of operators must have directors, managing partners, or persons with management authorities who do not have qualification or prohibited characteristics the same as directors and persons with management authorities of such operators.

Clause 16. In case of adding or changing major shareholders, directors, or persons with management authorities of operators, as well as directors, managing partners, or persons with management authorities of their parents, the operators shall notify the Bank of Thailand in documentation or via electronic methods as prescribed by the Bank of Thailand in the Public Handbook within fifteen working days from the date of such changing.

In case of changing their juristic person's names, the operators shall notify the Bank of Thailand in documentation or via electronic methods as prescribed by the Bank of Thailand in the Public Handbook in advance not less than seven working days prior to the beginning date of such changing. In addition, the operators shall inform in documentation, via electronic methods, or any other methods in advance not less than seven working days prior to the beginning date of such changing.

Clause 17. In case of

(1) Operators violate or negligence to comply with any conditions for business operation.

(2) Operators' financial positions or business operations may cause severe damages to public interest.

(3) Operators are the juristic persons who have prohibited characteristics as follows:

(a) Being under receivership or bankrupts.

(b) Used to have their licenses or registration certificates to conduct financial businesses and payment systems revoked.

(c) Having been subjected to the court's final judgements of money laundering or having been subjected to the court's judgements or court's orders of forfeiture of assets to the state according to the law on anti-money laundering. Having been the persons listed on the List of Designated Persons related to terrorism or proliferation of weapons of mass destruction. Or having been subjected to the court's final judgements of offense related to

financing of terrorism or proliferation of weapons of mass destruction according to the law on counter-terrorism and proliferation of weapon of mass destruction financing.

(d) Used to be operators of financial businesses and payment systems without authorized licenses or registration certificates as stipulated by laws. In addition, having engaged in unfair activities or having taken advantages of consumers.

(4) Major shareholders, directors, or persons with management authorities of operators, as well as directors, managing partners, or persons with management authorities of their parents, have prohibited characteristics as specified in Clause 14 or Clause 15 depending on the case.

The Bank of Thailand shall have the power to order such operators to correct the violation or the negligence, as well as to correct their financial positions or operations, within the specified time period. The Bank of Thailand shall report to the Minister for acknowledgement of such orders and the operating results according to the order without delay, that is, no later than thirty days from the date of the orders or knowing such operating results.

In case of operators fail to make correction within the time period as specified by the Bank of Thailand in paragraph one or in case of the Bank of Thailand deems necessarily urgent, the Bank of Thailand shall have the power to order the operators to temporarily cease operations, in full or in part, within the specified time period in order to make the correction. The Bank of Thailand shall report to the Minister for acknowledgement of such orders and operating results according to the order without delay, that is, no later than thirty days from the date of the orders or knowing of such operating results. In this case, the Bank of Thailand may prescribe rules, procedures, or any conditions for the operators to comply with, as well.

In case of the operators remain in violation by not complying with the Bank of Thailand's orders as prescribed in paragraph two, in case of the Bank of Thailand may not able to order the operators to take actions as specified in paragraph two, or in case of the operators do not have business transactions as authorized for two consecutive years, the Minister with recommendations from the Bank of Thailand may revoke their licenses of nano finance business under supervision. In this case, the Minister may prescribe rules, procedures, or any conditions for the operators to comply with, as well.

Clause 18. In case of operators want to terminate their nano finance business under supervision, such operators must receive approval from the Minister by submitting application through the Bank of Thailand.

Upon receiving the applications according to paragraph one, the Bank of Thailand shall consider to propose opinions to the Minister without delay, that is, no later than thirty days from the date of receiving such applications with properly completed required documents.

The Minister, with the recommendations of the Bank of Thailand, shall consider and may order the approval date for terminating businesses under any conditions and procedures. Indeed, the consideration shall be completed within thirty working days from the date of receiving recommendations from the Bank of Thailand according to paragraph two. In an exceptional case that there is necessity circumstance causing the consideration not to be completed within such time limit, the Minister shall notify the operators in written prior to the due date. In this case, the extension period for consideration shall not be more than thirty working days from such due date.

Clause 19. The Bank of Thailand shall have the power to appoint its staffs to be officers to perform duties according to the Declaration of the Revolutionary Council Decree 58 dated 26 January 1972 (B.E. 2515) and this Notification. In addition, the Bank of Thailand shall have the power to examine the business operations as specified in this Notification and to file lawsuits for breaching the Declaration of the Revolutionary Council No. 58 dated 26 January 1972 (B.E. 2515).

Clause 20. Upon the officers' requests, operators shall give testimony or provide account books, documents, and other evidence. Also, the operators shall have their major shareholders, directors, persons with management authorities, staffs, employees, or auditors, as well as their parent companies and their parent companies' directors, managing partners, or persons with management authorities, give testimony or provide account books, documents, and any other evidence with related to businesses of such operators as demanded by the officers.

Clause 21. In order to have effective supervision, the Bank of Thailand shall notify the Minister regarding the rules, procedures, and conditions as specified by the Bank of Thailand according to this Notification, as well as shall submit a copy of reports, which operators submitted to the Bank of Thailand, to the Ministry of Finance.

Transitional Provision

Clause 22. Any operators, who have already had licenses to conduct the business granted prior to the legal force date of this Notification, shall be authorized operators under this Notification.

Clause 23. In case that operators, who have licenses to conduct the business granted prior to the legal force date of this Notification according to Clause 22, as well as their major shareholders, directors, or persons with management authorities, together with their parent companies' directors, managing partners, or persons with management authorities, have prohibited characteristics as specified in this Notification, the operators shall make correction within one hundred and eighty days from the legal force date of this Notification.

In addition, the operators, who have licenses to conduct the business granted prior to the legal force date of this Notification according to Clause 22, shall inform the information regarding their major shareholders, directors, and persons with management authorities, as well as their parent companies' directors, managing partners, and persons with management authorities, as prescribed by the Bank of Thailand in the Public Handbook to the Bank of Thailand within sixty days from the legal force date of this Notification.

Clause 24. This Notification shall come into force as from the day following the publication date in the Government Gazette onwards.

Announced on 30th July 2020 (B.E. 2563)

Santi Promphat

Assistant Minister

Acting Minister of Finance